Theoretical Framework Literature Review

1. Post-Separation Inefficiency and Market Failure
Public intervention in child support enforcement addresses an allocative market failure. Following **Weiss and Willis (1993)**, expenditures on children are a public good within an intact household. Post-separation, physical custody is typically held by the mother, while the father makes a monetary transfer. This creates an asymmetric information problem: the non-custodial parent cannot monitor whether the transfer funds child-specific goods or the mother's private consumption. This free-riding dynamic leads to a non-cooperative equilibrium characterized by sub-optimal child investment and high default rates, although repeated interactions and remarriage prospects can partially mitigate underinvestment (**Chiappori and Weiss, 2007**).

2. Parental Optimization Programs
The policy directly reshapes both parents' constraints. For the *custodial mother*, the program is $\max U_m(c_m, l_m)$ subject to:

$$c_m = w_m h_m + \tau S + T(w_m h_m, \tau S) \tag{1}$$

where h_m denotes hours worked, w_m the wage rate, $\tau \in [0,1]$ the payment compliance rate of legal support S, and $T(\cdot)$ the net tax-and-transfer schedule (including ASF and RSA).

For the *debtor father*, the program consists in choosing an effort/compliance rate $e \in [0,1]$:

$$\max_{e \in [0,1]} \; U_d\big(y_d - eS - C(e;\theta)\big) + \gamma U_{\text{child}}(S_{\text{received}}) \tag{2}$$

where $C(e;\theta)$ denotes the psychological, administrative, and legal costs of evasion under state enforcement stringency θ.

3. Proven Results in the Literature
The empirical literature highlights clear behavioral margins:

- **Debtor Compliance and Labor Supply:** Routine income withholding increases collections by 11% to 30% (**Garfinkel and Klawitter, 1990**). However, excessive or rigid enforcement burdens can reduce formal employment among disadvantaged fathers (**Cancian, Heinrich, and Chung, 2013**), and higher monetary obligations may lead fathers to substitute financial transfers for contact time (**Rossin-Slater and Wüst, 2018**).
- **Creditor Labor Supply:** The effect on custodial mothers combines conflicting margins: a pure income effect from received support tends to reduce hours worked (**Hu, 1999**), whereas stricter enforcement can increase labor force attachment among welfare-reliant mothers (**Garfinkel, Heintze, and Huang, 2001**).
- **Frictions and Defaults:** Opt-in mechanisms generate substantial non-take-up due to cognitive, informational, and administrative costs (**Bhargava and Manoli, 2015**). In contrast, automatic default enrollment substantially raises participation without altering statutory economic parameters (**Madrian and Shea, 2001**).

4. Application to the IFPA Reform and Expected Outcomes
The 2022–2023 French reform shifted the IFPA from an opt-in procedure to default public intermediation, neutralizing application frictions and interpersonal conflict costs. Mechanically increasing enforcement stringency θ and expected compliance $\mathbb{E}[\tau]$ leads to key testable predictions:

1. **Compliance and Income Stability:** A discrete surge in payment regularity and a marked reduction in income volatility for lone mothers.
2. **Maternal Adjustments:** An ambiguous net effect on labor supply (income effect vs. dampened precautionary labor motives), paired with lower child poverty.

3. **Fiscal Externalities:** A direct crowd-out of public support: higher private compliance lowers public outlays on the advance maintenance allowance (ASF) and RSA, driving a favorable Marginal Value of Public Funds (MVPF).

4. **Debtor Margin:** Potential labor supply contraction or informal reallocation among liquidity-constrained fathers.